some cases, quantification would require numerous assumptions to forecast how investment advisers and other affected parties would respond to the amendments and rules, and how those responses would in turn affect the broader markets in which they operate. In addition, many factors determining the economic effects of the amendments and rules would be firm-specific and thus inherently difficult to quantify, such that, even if it were possible to calculate a range of potential quantitative estimates, that range would be so wide as to not be informative about the magnitude of the benefits or costs associated with the rules and amendments. Many parts of the discussion below are, therefore, qualitative in nature. As described more fully below, the Commission is providing a qualitative assessment and, where feasible, a quantified estimate of the economic effects.

B. Broad Economic Considerations

As discussed above, private fund assets under management have steadily increased over the past decade.[962] Additionally, private funds and their advisers play an increasingly important role in the lives of millions of Americans planning for retirement.[963] While private funds typically issue their securities only to certain qualified investors, such as institutions and high net worth individuals, individuals have indirect exposure to private funds through those individuals' participation in public and private pension plans, endowments, foundations, and certain other retirement plans, which all invest directly in private funds.[964]

Many commenters argued in response to the Proposing Release that the private fund industry is competitive and not in need of further regulation, and that private incentives and

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962 *See supra* section I; *see also infra* section VI.C.1.

963 *Id*.

964 *Id*.

negotiations already yield competitive outcomes.[965] Other commenters stated that the Proposing Release did not demonstrate or provide evidence of a market failure to provide a rationale for the proposed rules, or did not provide sufficient quantifiable justification of the benefits of the rule relative to the costs.[966] These comments also generally stated that financial regulation in the absence of such market failures results in negative unintended consequences, such as reduced capital formation, higher prices, or lower overall economic activity.[967] Commenters stated that new regulations, if any, should prioritize or be limited to ensuring full and fair disclosure.[968]

One commenter representing a fund adviser group stated that the development of the potentially harmful practices at issue in the proposal is evidence of market efficiency, as it shows the development of differentiated investor terms that are responsive to unique investor needs.[969]

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965 *See, e.g.*, MFA Comment Letter I, Appendix A ("The Commission fails to consider that sophisticated investors invest in private funds and does not establish that sophisticated investors need the purported protections outlined in the Proposal."); AIC Comment Letter I, Appendix 1 ("Private equity is a competitive industry with thousands of advisory firms on one side and sophisticated investors on the other side. Certain characteristics of the private equity industry, which the Commission is concerned about, emerge as a result of negotiations between sophisticated parties, and the literature provides economic reasons for these patterns in the data."); AIC Comment Letter I, Appendix 2 ("If investment advisers all have market power and private funds are in short supply, LPs will have little bargaining power if they wish to be included in a particular fund. By contrast, if the IAs compete to attract investable resources, the supply of private funds should be substantial and LPs should be able to negotiate contractual terms that reflect their preferences and trade-offs. In particular, if the SEC has identified practices that are generally viewed negatively by LPs, an adviser that tried to impose these practices will find it more difficult to attract investments than one who offers some flexibility. There are many IAs offering private funds but, unfortunately, the Proposal and economic analysis provide no evidence about their market power. Yet this assessment should have a first-order impact on appropriate regulatory changes."); Comment Letter of Professor William Clayton (Apr. 21, 2022) ("Clayton Comment Letter I") ("The Proposal also includes various explanations for why bargaining in private funds might be leading to unsatisfying outcomes. Interestingly, these claims are not presented as part of a clear and unified thesis for why suboptimal bargaining happens in this industry. Instead, the staff's discussion of bargaining problems is scattered throughout the Proposal, and one might miss the descriptions of these bargaining problems if one is not looking carefully for them.").

966 *See, e.g.*, ATR Comment Letter; Comment Letter of Harvey Pitt (Apr. 18, 2022) ("Harvey Pitt Comment Letter"); SBAI Comment Letter; LSTA Comment Letter, Exhibit C; Cartwright et al. Comment Letter.

967 *See, e.g.*, AIC Comment Letter I, Appendix 1; Segal Marco Comment Letter; SBAI Comment Letter.

968 *See, e.g.*, Clayton Comment Letter I; MFA Comment Letter I; Dechert Comment Letter.

969 AIMA/ACC Comment Letter.

Commenters representing advisers also stated that the growth of private funds provides evidence that the market is not in need of further regulation,[970] and that the number of private fund advisers and low concentration of assets under management indicate the private equity market is competitive.[971] One investor comment letter also stated that private markets have "thrived," stating that investors are well-compensated for the risks they face.[972]

We view these commenters' statements as contributing to three principal arguments that will be analyzed in this section.[973] First, commenters' statements contribute to an argument that the size and sophistication of private fund investors indicates they are able to negotiate with their advisers for themselves.[974] Second, commenters' statements contribute to an argument that if any potential private fund investor were arguably unable to sufficiently negotiate for its interests in a private fund, the investor could instead invest in publicly-traded securities along with a range of other available investment options.[975] This would indicate that private fund investors allocating to private fund investments must have sufficient information to be responsibly making their current allocations.[976] Third, as a closely related matter, commenters' statements contribute

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970 *See, e.g.*, AIMA/ACC Comment Letter; AIC Comment Letter I, Appendix 1; MFA Comment Letter I, Appendix A.

971 Comment Letter of Committee on Capital Market Regulation (May 25, 2023) ("CCMR Comment Letter IV"); CCMR, A COMPETITIVE ANALYSIS OF THE U.S. PRIVATE EQUITY FUND MARKET (Apr. 2023), *available at* https://capmktsreg.org/wp-content/uploads/2023/04/CCMR-Private-Equity-Funds-Competition-Analysis-04.11.20231.pdf.

972 OPERS Comment Letter.

973 We discuss other commenter concerns, such as commenter concerns on specific economic aspects of individual rules, throughout the remainder of section VI.

974 *See, e.g.*, Harvey Pitt Comment Letter; AIC Comment Letter I, Appendix 2; OPERS Comment Letter.

975 *See, e.g.*, AIC Comment Letter I; AIC Comment Letter I, Appendix 1; MFA Comment Letter I; CCMR Comment Letter IV.

976 *Id.*

to an argument that new regulations, if any, should prioritize enhancing disclosures to help ensure private fund investors have sufficient information.[977]

Separately, one commenter stated that the proposal failed to meet the Office of Management and Budget's guidelines for performing a regulatory impact analysis as set out under certain executive orders and laws.[978] The Commission was not required to perform a regulatory impact analysis but complied with the Regulatory Flexibility Act and the Paperwork Reduction Act and included a robust economic analysis in the Proposing Release.[979]

Conversely, several investor commenters provided insight into the specific private fund market structures and resulting market failures that motivate regulation of private fund advisers and inform the specific types of regulations that would be appropriate. Specifically, investor commentary suggests that investors face difficulties in negotiating reforms because of the bargaining power held by fund advisers and because of the bargaining power held by larger investors who are able to secure preferential terms that carry a risk of having a material, negative effect on other investors.

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977 *See, e.g.*, Clayton Comment Letter I; MFA Comment Letter I; Dechert Comment Letter.

978 *See* LSTA Comment Letter, Exhibit C.

979 The Commission is subject to the Paperwork Reduction Act of 1995 ("PRA"), the Small Business Regulatory Enforcement Fairness Act of 1996 ("SBREFA"), and the Regulatory Flexibility Act ("RFA"). *See also* Staff's "Current Guidance on Economic Analysis in SEC Rulemaking" (March 16, 2012), available at https://www.sec.gov/divisions/riskfin/rsfi_guidance_econ_analy_secrulemaking.pdf ("Staff's Current Guidance on Economic Analysis in SEC Rulemaking"). The commenter also referred to the Unfunded Mandate Reform Act of 1995, but that Act does not apply to rules issued by independent regulatory agencies. See 2 USC §1501 et seq, stating "The term 'agency' has the same meaning as defined in section 551(1) of title 5, United States Code, but does not include independent regulatory agencies." *See also* CONG. RESEARCH SERV., UNFUNDED MANDATES REFORM ACT: HISTORY, IMPACT, AND ISSUES (July 17, 2020), *available at* https://crsreports.congress.gov/product/pdf/R/R40957/108 (noting "[UMRA] does not apply to duties stemming from participation in voluntary federal programs [or] rules issued by independent regulatory agencies"). *See also infra* section VIII.

Analysis of industry comments demonstrates that fund advisers have multiple sources of bargaining power, which we discuss in turn, and we also discuss the bargaining power held by certain investors that may harm other investors with less bargaining power.[980] We specifically have analyzed all three categories of the broad arguments above. That is, we have analyzed below market failures that can prevent private fund investors from efficiently negotiating for themselves with private fund advisers. Second, we have analyzed below market failures that can prevent private fund investors from being able to exit their private fund adviser negotiations, including market failures that prevent private fund investors from exiting private fund allocations entirely in favor of publicly traded securities or other investment options. Third, we have analyzed the extent to which market failures could have been addressed by disclosure and, in some cases, consent requirements alone. To the extent that these market failures negatively affect the efficiency with which investors search for and match with advisers, the alignment of investor and adviser interests, investor confidence in private fund markets, or competition between advisers, then the final rules may improve efficiency, competition, and capital formation in addition to benefiting investors.[981] For example, an academic study found that the passing of regulation requiring advisers to hedge funds to register with the SEC reduced misreporting of results to hedge fund investors, misreporting increased on the overturn of that legislation, and that the passing of the Dodd-Frank Act (which reinstated certain regulations for hedge funds)

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980 The Proposing Release also considered whether conflicts of interest associated with specific contractual terms themselves constituted a market failure preventing private reform. Proposing Release, *supra* footnote 3, at 214-215. However, commenters argued that conflicts of interest arising from specific contractual terms after the investor enters into a relationship cannot constitute a market failure, and the analysis must instead consider why investors accept contractual terms associated with conflicts of interest in the first place. *See, e.g.*, Clayton Comment Letter I.

981 *See infra* section VI.E. *See also, e.g.*, Consumer Federation of America Comment Letter.

resulted in higher inflows of capital to hedge funds, indicating that hedge fund investors view regulatory oversight as protecting their interests.[982]

This analysis yields six key conclusions. First, investors and advisers may have asymmetric abilities to gather information, as fund advisers often have greater information as to their negotiation options available to them than do many investors. Second, it may be difficult solely as a matter of coordination for private fund advisers to adopt a common, standardized set of detailed disclosures and possibly further consent requirements that achieve sufficient transparency. The remaining sources of asymmetric bargaining power between investors and advisers and among investors necessitate reforms beyond disclosures and consent requirements. Third, investors have worse outside options to a given negotiation than the adviser, including cases where investors are limited in their ability to exit a negotiation with a private fund adviser in favor of turning to public markets or other investment options. Fourth, these descriptions of bargaining difficulties for investors are consistent with a view that smaller investors who lack bargaining power also face a collective action problem. Fifth, even if investors could coordinate, there is substantial variation across investors in terms of their ability to bargain with private fund advisers, and larger investors with more bargaining power may benefit from using their bargaining power to extract terms that may risk materially, negatively affecting other investors. Lastly, there may be additional internal principal-agent problems at private fund investors, between investment committees and their own beneficiaries, in which investment committees have limited incentives to intensely negotiate for reforms that are in the interests of their beneficiaries. We discuss each of these issues in turn in the remainder of this section.

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982 Stephen G. Dimmock & William Christopher Gerken, *Regulatory Oversight and Return Misreporting by Hedge Funds*, 20 REV. FIN., EURO. FIN. ASSOC. 795-821 (2016), *available at* https://ssrn.com/abstract=2260058.

First, investors and advisers may have asymmetric abilities to gather information, as fund advisers often have greater information as to their negotiation options available to them than do many investors.[983] We understand many investors lack the resources to negotiate and conduct due diligence with a large number of fund advisers simultaneously. As one commenter states, each investor negotiates the private fund terms on a separate basis with the fund adviser.[984] This problem is exacerbated by the fact that many investors' internal diversification requirements and objectives and underwriting standards generally leave them with a smaller pool of advisers with whom they can negotiate.[985] One commenter and industry report further stated that "[c]onversations with industry parties (including several advisers and consultants) and directly with [investors] suggest that there may only be a 'handful' or 'a dozen' eligible funds for a given investment" when taking into account the investor's limitations on the size of the investor's

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983 Comment Letter of Prof. William Clayton (Dec. 22, 2022) ("Clayton Comment Letter II") (citing "Insufficient information on 'what's market' in fund terms" as a reason LPs are accepting poor legal terms in LPAs). This evidence has been corroborated in industry literature and by another commenter. *See* Comment Letter of Institutional Limited Partners Association (Mar. 9, 2023) ("ILPA Comment Letter II"); ILPA, THE FUTURE OF PRIVATE EQUITY REGULATION, INSIGHT INTO THE LIMITED PARTNER EXPERIENCE & THE SEC'S PROPOSED PRIVATE FUND ADVISERS RULE (2023), *available at* https://ilpa.org/wp-content/uploads/2023/03/ILPA-SEC-Private-Fund-Advisers-Analysis.pdf; ILPA, PRIVATE FUND ADVISERS DATA PACKET, COMPANION DATA PACKET TO THE FUTURE OF PRIVATE EQUITY REGULATION ANALYSIS (2023), *available at* https://ilpa.org/wp-content/uploads/2023/03/ILPA-Private-Fund-Advisers-Data-Packet-March-2023-Final.pdf; William W. Clayton, *High-End Bargaining Problems*, 75 VAND. L. REV. 703 (2022), *available at* https://vanderbiltlawreview.org/lawreview/wp-content/uploads/sites/278/2022/04/1-Clayton-Paginated-v3.pdf; Leo E. Strine, Jr. & J. Travis Laster, *The Siren Song of Unlimited Contractual Freedom*, *in* RESEARCH HANDBOOK ON PARTNERSHIPS, LLCS AND ALTERNATIVE FORMS OF BUSINESS ORGANIZATIONS (Robert W. Hillman and Mark J. Loewenstein eds., 2015) ("Based on the cases we have decided and our reading of many other cases decided by our judicial colleagues, we do not discern evidence of arms-length bargaining between sponsors and investors in the governing instruments of alternative entities. Furthermore, it seems that when investors try to evaluate contract terms, the expansive contractual freedom authorized by the alternative entity statutes hampers rather than helps. A lack of standardization prevails in the alternative entity arena, imposing material transaction costs on investors with corresponding effects for the cost of capital borne by sponsors, without generating offsetting benefits. Because contractual drafting is a difficult task, it is also not clear that even alternative entity managers are always well served by situational deviations from predictable defaults.").

984 *See* NY State Comptroller Comment Letter.

985 *Id.*; *see also, e.g.*, *Pension Funds, What is a Pension Fund?*, CFA INSTITUTE (2023), *available at* https://www.cfainstitute.org/en/advocacy/issues/pension-funds#sort=%40pubbrowsedate%20descending.

potential investments, and diversification across vintage years, size, sector, strategy, and geography.[986] Having a smaller pool of advisers with whom investors can negotiate reduces their access to information on what terms are consistent with the market.

Meanwhile, and by contrast, many fund advisers can negotiate with comparatively more investors simultaneously. In particular, although advisers face restrictions around their ability to admit certain investors such as benefit plans subject to ERISA,[987] advisers are typically less restricted in their ability to market to and accept investments from a wide variety of investors as compared to investor ability to negotiate and invest with a wide variety of advisers. This increases the adviser's information as to what terms may be accepted by different investors.

The ILPA comment letter and industry report also states that many investor negotiations are with advisers that are represented by the same law firms. As a result, advisers represented by those law firms gain bargaining power from being able to gather information about negotiations between other investors and other advisers represented by the same law firm.[988] For example, in private equity, the leading five global law firms represented advisers to private funds that raised over $380 billion in capital from October 2021 to September 2022 from global investors, and the leading 10 represented advisers who raised almost $500 billion in capital.[989] A single law firm

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986 ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983, at 30. While commenters also discussed limitations based on institutional track records, we do not consider those to be as relevant of restrictions contributing to market failures, because competitive forces operating correctly will also result in advisers with stronger institutional track record having greater bargaining power.

987 For example, an employee benefit plan or pension plan subject to ERISA may be required to redeem its interest under certain circumstances to prevent the fund's assets from becoming plan assets of the investor, and such requirements for those investors may limit an adviser's ability to admit those plans as an investor. *See, e.g.*, NEBF Comment Letter.

988 ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983, at 4.

989 Carmela Mendoza, *PEI Fund Formation League Table Reveals Industry's Top Law Firms*, Priv. Equity Int'l (Feb. 15, 2023), *available at* https://www.privateequityinternational.com/pei-fund-formation-league-table-reveals-industrys-top-law-firms/.

represented advisers to private funds that accounted for $171 billion of that capital.[990] In the first half of 2022, total capital raised by private equity funds globally accounted for $337 billion.[991] Comparing this to the amounts raised by private funds represented by leading law firms indicates the leading 10 law firms represented funds that likely accounted for approximately 75% of global private equity capital raised in 2022, and one law firm alone represented funds that likely accounted for approximately 25% of global private equity capital raised in 2022.[992]

However, investor consultants can also provide services such as negotiating for fee reductions, providing analytics on a specific fund or investor portfolio performance, or valuation reporting, among others.[993] These investor consultants may partially or fully offset the information asymmetry and resulting bargaining power that advisers receive from industry consolidation of law firms. We have considered that the ILPA comment letter and report does not discuss how enhanced information for advisers from adviser law firm concentration may be mitigated by investors relying on investment consultants, who provide advice to investors with large amounts of assets and may provide preliminary screens of advisers or databases of information on advisers.[994] For example, in principle and given sufficient bargaining power by

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990 *Id*.

991 Carmela Mendoza, *Fundraising Sees $122 Billion Drop in the First Half of 2022*, Priv. Equity Int'l (July 28, 2022), *available at* https://www.privateequityinternational.com/fundraising-sees-122bn-drop-in-the-first-half-of-2022.

992 *Id*. These figures are global, and so comparable figures for the U.S. market that will be subject to the final rules may differ from those presented here. We are not aware of data on comparable figures for the U.S. market that will be subject to the final rules. However, North American private equity funds accounted for more than 40% of all private equity capital raised in the first half of 2022, which limits how much the law firm concentration of private fund capital raises may differ for U.S. markets in comparison to global markets. *Id*.

993 *See, e.g.*, *Services*, ALBOURNE, *available at* https://www-us.albourne.com/albourne/services.

994 *See, e.g.*, *Asset Managers' Latest Big Investment: Consultant Relations*, CHIEF INVESTMENT OFFICER (July 8, 2016), *available at* https://www.ai-cio.com/news/asset-managers-latest-big-investment-consultant-relations/.

investor consultants, investor consultant screens of advisers could filter advisers based on offerings of investor-friendly contractual terms and quickly provide investors with complete information as to the landscape of those investor-friendly contractual terms, thereby inducing advisers to offer more investor-friendly terms over time.

However, there are two reasons we believe the involvement of investor consultants may not sufficiently offset all information asymmetries and resulting bargaining asymmetries. First, one survey result indicates that these consultants may not entirely offset all such information asymmetries, as the survey reports that 73% of private equity investor respondents disagree or strongly disagree with the statement that the private equity industry is unconcentrated, such that investors have flexibility to switch advisers.[995] Almost all respondents reported that the starting point of contractual LPA terms and the final negotiated LPA terms have become more adviser-friendly over the last three years.[996] Because at least one commenter has stated that such survey results may not be reliable, based on a statement that investors bargaining with advisers may rationally seek the assistance of outside parties such as industry researchers to alter negotiation outcomes even absent any market failure,[997] we have further considered non-survey evidence. Second, while there is not comprehensive data comparing industry concentration of investor consultants to industry concentration of adviser law firms, one industry report shows that the investor consultant industry may be substantially less concentrated than the adviser law firm

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995 ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983. If the industry were unconcentrated and investors were free to flexibly switch advisers, economic theory would predict that competition between advisers would absolve asymmetries of bargaining power, as advisers would have to offer investors more attractive terms, such as more transparency and disclosure rights, in order to secure investor business.

996 ILPA Comment Letter II; The Future of Private Equity Regulation, *supra* footnote 983.

997 *See, e.g.*, Harvey Pitt Comment Letter.